

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

COMPLAINANT’S MOTION FOR SUMMARY DECISION

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully moves for summary decision against Respondents that the following conduct is unlawful under the Shipping Act: (1) CCM Pool Operations Manual Rules restricting chassis choice; (2) ocean carrier contracts and practices (a) linking carrier haulage rates to merchant haulage (“MH”) volume, (b) designating a chassis provider for MH movements, and (c) withdrawing from or permitting a chassis provider to withdraw from an interoperable pool allowing choice for MH movements; and (3) ocean carriers remaining in the Pool of Pools in Los Angeles/Long Beach while the Pool of Pools does not allow choice. 46 C.F.R. § 502.70. IMCC respectfully requests a hearing on this motion.

INTRODUCTION

Respondents adopted regulations and imposed practices that restrain chassis interoperability and choice for merchant haulage (“MH”) container movements for which motor carriers and their customers bear financial responsibility under Respondent ocean carriers’ port-to-port and inland intermodal tariffs. Moreover, Respondents have received cross-subsidized chassis prices for their carrier haulage movements (“CH”) under their “through” or “store-door” tariffs. As a result, motor carriers, shippers, and ultimately the American public have paid higher chassis prices and suffer inefficiencies in exchange for the ocean carriers’ short-term financial gain.

There is no genuine dispute about the basic facts. Ocean carriers, acting through the Ocean Carrier Equipment Management Association Inc. (“OCEMA”) and Consolidated Chassis Management LLC (“CCM”), enacted the ironically-named “Choice Program” which, rather than facilitating a motor carrier’s ability to negotiate a better deal for MH chassis (*i.e.*, to exercise “choice”), allows ocean carriers to veto it. These actions prevent price competition for MH

chassis, allowing Intermodal Equipment Providers (“IEPs”) to impose higher usage prices that are ultimately borne by American shippers. Respondents’ actions are more restrictive than necessary to support chassis availability. As a result, CCM’s Choice Rules and ocean carrier practices unreasonably restrain the market for MH chassis and thus violate the Shipping Act.

Ocean carriers restrict MH chassis choice and interoperability more broadly as well. For example, there is no dispute that they negotiate contracts with IEPs that link CH chassis price (paid by the ocean carrier) to MH volume. These linkages take a variety of forms: from agreements that require a single IEP to provide chassis for all MH movements; to participation in interoperable pools that disallow choice, such as the Pool of Pools in Los Angeles/Long Beach; to contractual terms that lower CH rates in exchange for MH volume; and default arrangements steering MH chassis volume to a particular IEP. But regardless of form, these linkages violate the Shipping Act because they unnecessarily burden customers that use port-to-port and inland intermodal terminal rates, which utilize MH chassis. And in pursuit of lower CH chassis pricing, Respondents have willingly agreed to their IEPs’ withdrawal of chassis from interoperable pools—depriving the American supply chain of the benefits of those gray pools and limiting the throughput of containers moving along the supply chain.

The effects of this conduct are profound. For example, Respondents’ myopic focus on reduced CH chassis pricing in the Chicago region caused them to exit the regional interoperable CCM pool and enter non-interoperable proprietary IEP pools. Those contracts resulted in the removal of so many chassis from the CCM pool ***that it ultimately collapsed. There is now not a single interoperable pool available in America’s most important rail hub.*** Memphis could be next. There is no genuine dispute that the lack of chassis interoperability imposes additional costs on all supply chain stakeholders, from motor carriers to shippers to even ocean carriers.

Respondents cannot justify their short-term profit maximization at the expense of motor carriers, shippers, and American consumers. As regulated common carriers, Respondents are “required to be reasonable and moderate because [they] are affected with a public interest,” *Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 444 F.2d 824, 828 n.6 (D.C. Cir. 1970) (“*Isbrandtsen II*”). Each Respondent has violated these obligations by restraining MH chassis choice and interoperability. Because Respondents thus have failed to “establish, observe, and enforce just and reasonable regulations and practices,” 46 U.S.C. § 41102(c), IMCC’s motion for summary decision should be granted.

FACTUAL BACKGROUND

A. Chassis in Intermodal Transportation of Transoceanic Container Shipping.

Chassis are a pivotal element of the international supply chain, and are used in the “receiving, handling, storage, [and] delivery of property.” IMCC Statement of Undisputed Material Facts (“SUMF”) ¶ 10. A chassis used by motor carriers is a frame with a suspension and axle system, wheels and tires, brakes, a lighting and electrical system, a coupling behind a truck tractor, and twistlocks that provide the securement points to the container. *Id.* ¶ 11. Drayage motor carriers use chassis to move containers between intermodal terminals and shipping facilities. *Id.* As of the end of 2019, the U.S. chassis inventory was approximately [REDACTED] units. *Id.* ¶ 29. Of these, [REDACTED]% were owned by DCLI ([REDACTED]%), FlexiVan ([REDACTED]%), and TRAC ([REDACTED]%). *Id.* Ocean carriers accounted for [REDACTED]%, and motor carriers accounted for [REDACTED]%. *Id.*

1. Types of Chassis Pools and Alternatives

Financial responsibility for daily chassis charges can be divided into two types. *CH movements* occur when the ocean carrier tariff or contract includes the cost of transport of the container, including chassis charges, in its rates. Joint Stipulations of Fact (Feb. 28, 2022)

(“JSF”)¹ ¶¶ 32, 49, 65, 83, 94, 109, 124, 140, 154, 169, 183. *MH movements* are when the motor carrier (or in some instances, the beneficial cargo owner, “BCO”) bears financial responsibility for daily container and chassis fees.² *Id.* ¶¶ 30-31, 47-48, 63-64, 83, 92-93, 107-08, 122, 138-39, 152-53, 168, 181-82. Thus unlike CH, under MH the motor carrier or BCO pays and arranges for the chassis usage. *Id.*³

There are five models of chassis management. Historically, ocean carriers owned the chassis. Under this model, motor carriers had to pick up and return both chassis and containers from the ocean carrier. SUMF ¶¶ 16-18. However, beginning in 2006, ocean carriers divested their chassis fleets to intermodal equipment providers (“IEPs”) and entered into usage agreements through which ocean carriers would pay daily rental charges. *Id.* ¶ 685.

During this time period, several ocean carrier mergers and alliances occurred, requiring chassis pools to reflect the new structures, including the transport of containers of multiple lines on the same vessel. *Id.* ¶¶ 20-21. Thus, a second business model arose whereby ocean carriers would cooperate by pooling available container slots and chassis. *Id.* [REDACTED]

[REDACTED] *Id.* ¶ 22. CCM was formed shortly thereafter, in 2005. *Id.* CCM operates regional chassis pools on behalf and under the control of OCEMA members. *Id.* ¶¶ 22-23. In those pools, IEPs inject chassis on behalf of their ocean carrier customers pursuant to an ocean carrier’s contract with an IEP. *Id.* ¶¶ 31-33. CCM pools are “fully interoperable” or “gray,” *i.e.*,

¹ The JSF has been incorporated into the SUMF. *See* SUMF ¶ 1.

² A “Merchant Haulage Exception,” occurs when an ocean carrier secures and pays for a chassis in a MH movement. *Id.* ¶¶ 36, 53, 98, 113, 144, 158, 172, 187. For simplicity’s sake, we include MHE in CH because the competitive dynamics are identical.

³ [REDACTED]

equipment is contributed by multiple chassis providers but those chassis are comingled. *Id.* In a gray pool, it is not required to match a specific equipment provider's chassis with a particular ocean carrier's container. *Id.* Rather, CCM rules establish assignment of chassis "usage" to a contributor IEP, which gives that IEP the right to bill its customer for a chassis regardless of the contributor of the chassis the customer physically uses. *Id.* ¶ 36.

IEPs may operate proprietary pools, a third business model. *Id.* ¶ 42. These single-provider pools are not interoperable with other pools, nor by their nature do they enable motor carrier or BCO chassis choice in MH movements. *Id.* ¶¶ 42, 102, 525, 666.

Under a fourth business model, IEPs separately organize interoperable chassis pools comprised of their proprietary pools, independent of direct management from ocean carriers or CCM. *Id.* ¶ 44. An example of this model is the Pool of Pools ("POP") in Los Angeles/Long Beach. *Id.* ¶ 45.

Last, in a fifth model, motor carriers own or lease chassis from outside the daily-usage pool. *Id.* ¶ 51.

2. The Relevant Markets

At the Presiding Officer's suggestion, the parties focused discovery on four geographic regions, Chicago, Los Angeles/Long Beach, Memphis, and Savannah.⁴ As a result, analysis of the Respondents' conduct with respect to participation in interoperable pools primarily concerns these four areas.

The Chicago region was previously served by the Chicago & Ohio Valley Consolidated Chassis Pool LLC ("COCP"), an interoperable CCM pool. SUMF ¶ 23. However, ocean

⁴ Order (Jan. 29, 2021) at 9. See First Joint Status Report (Mar. 1, 2021) at 1-2 ("the Parties have conferred and propose limiting certain categories of initial Party document discovery to the following geographic areas: the Ports of Long Beach and Los Angeles, the Port of Savannah, intermodal terminals in the Chicago area, and intermodal terminals in the Memphis area").

carriers entered contracts to be served by IEP proprietary pools instead of the COCP. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] At the end of 2019, only [REDACTED] of the [REDACTED] chassis in the COCP region remained in that interoperable pool that permitted limited choice, and the remainder were in proprietary pools without choice. *Id.* ¶ 30. [REDACTED]

[REDACTED] As a result, the COCP collapsed, ceasing operations in [REDACTED]. *Id.* ¶ 635. Only proprietary IEP pools exist in the Chicago region today. *Id.* ¶ 635. The region surrounding the intermodal rail facilities of Chicago, Illinois is a relevant geographic market. *Id.* ¶ 734.

Los Angeles/Long Beach (“LA/LB”) is served by the POP, which began operation in 2015. *Id.* ¶¶ 45-46. There are approximately [REDACTED] chassis in the POP, provided by DCLI, TRAC, and FlexiVan. *Id.* ¶¶ 30, 46. The POP is interoperable, meaning that motor carriers pick up whatever chassis is available from the pool, regardless of which IEP injected the chassis into the pool. *Id.* ¶ 48. However, at present, chassis usage is always assigned to the IEP with which an ocean carrier has a contract (for MH and CH movements) regardless of whose chassis was physically used—a practice referred to as “Box Rules.” *Id.* ¶¶ 48, 50. Thus, although the POP is interoperable, motor carriers or BCOs cannot exercise choice in MH movements by switching chassis billing assignment away from the designated IEP. *Id.* ¶ 50. Two of the sponsoring IEPs received a Business Review Letter from the DOJ Antitrust Division [REDACTED] [REDACTED]. *Id.* ¶¶ 47, 50; JSF ¶ 196. However, the POP has never adopted chassis choice. SUMF ¶ 50. Despite this, Respondent ocean carriers

continue to participate in the POP. The region surrounding the port facilities at Los Angeles/Long Beach, California is a relevant geographic market. *Id.* ¶ 734.

Memphis is served by the Mid-South Consolidated Chassis Pool LLC (“MCCP”), a CCM pool, as well as proprietary pools from DCLI and TRAC. *Id.* ¶ 646. As of January 2021, MCCP had [REDACTED] chassis, while DCLI had [REDACTED] and TRAC had [REDACTED] in the region. *Id.* ¶ 636. While the MCCP is an interoperable gray pool, chassis are not interoperable among the MCCP, DCLI and TRAC pools. *Id.* ¶¶ 646-47. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] In Memphis, TRAC’s proprietary pool serves ZIM and Yang Ming, while DCLI’s serves Evergreen, HMM, Maersk and MSC. *Id.* ¶ 636. The region surrounding the intermodal rail facilities of Memphis, Tennessee is a relevant geographic market. *Id.* ¶ 734.

Savannah is currently served by the South Atlantic Chassis Pool LLC (“SACP”), an interoperable CCM pool. *Id.* ¶¶ 23, 26-27. The SACP is where CCM has the most allocated assets, with about [REDACTED] chassis and accounting for [REDACTED] of the total chassis allowed to be located on ports in the region. *Id.* ¶ 30. The region surrounding the port facilities at Savannah, Georgia is a relevant geographic market. *Id.* ¶ 734.

In each of the four geographies, ocean carriers and motor carriers (and their customers) obtain chassis on a daily usage basis from pools under contracts with IEPs or at their posted rates. *Id.* ¶¶ 31-33, 35-37, 42, 44, 48, 685-87. Further, ocean carriers’ tariffs and service contracts distinguish between “store-door” and “port-to-port” (or “port-to-terminal”) transportation, thus allowing chassis to be billed to ocean carriers at CH daily rates, or to motor carriers or their customers at MH daily rates, respectively. JSF ¶¶ 30-31, 47-50, 62-66, 76-80,

92-95, 107-10, 122-24, 138-41, 151-55, 166-70, 180-84. A motor carrier cannot switch between daily chassis usage from CH to MH or vice versa once the shipper has chosen under which type of tariff/contract it will obtain container transportation. SUMF ¶ 716. These uncontested facts—that daily usage is the prevailing chassis model, and that Respondents’ conduct substantially affects this market—allow the Commission to evaluate the effects of the challenged practices.⁵

3. Benefits of Interoperability.

All parties agree that interoperable gray pools have valuable benefits. SUMF ¶¶ 611-23. Interoperable pools avoid the [REDACTED] additional costs that non-interoperability imposes on the supply chain, which are borne by stakeholders in the supply chain. *Id.* ¶ 616, 620. The most significant issues stemming from a lack of interoperability include:

- **Chassis splits**, when containers and chassis must be returned to different destinations. *Id.* ¶¶ 616, 618, 658-59, 662.
- **Chassis flips**, when a container must be transferred from its current chassis to another. *Id.* ¶¶ 56, 616, 618, 662, 671-72, 699.
- **Demurrage/Detention**, when, due to the lack of chassis equipment or drivers, containers spend longer times at terminals, increasing the likelihood of charges. *Id.* ¶¶ 618, 660-61.
- **Longer terminal wait time** caused by a lack of available chassis. *Id.* ¶¶ 662, 699-700.
- **Repositioning**, when chassis must be physically moved to reconcile supply with demand. *Id.* ¶¶ 616, 618, 663-65.

⁵ To assist in this analysis, at the Presiding Officer’s suggestion, IMCC has provided two reports from an expert economist, Dr. Langenfeld, on product market definition from an antitrust perspective. Order (Jan. 29, 2021) at 6; SUMF ¶¶ 682-93. Although defining a market is not strictly necessary to evaluate the effects of Respondents’ conduct under the Shipping Act, Dr. Langenfeld has confirmed the appropriateness of daily usage chassis as a relevant product market and the provision of daily-rate chassis for MH movements as a relevant submarket. *Id.*

- **Additional equipment inventory**, since less interoperability requires *more* total chassis from the system and causes *more* chassis to be unused at any given time. *Id.* ¶¶ 666-68.
- **Motor carrier efficiency**, such that these delays and lack of chassis interoperability limit the number of paid trips a motor carrier can perform each day. *Id.* ¶¶ 618, 669-70.
- **Rail efficiency**, where lack of interoperability increases rail unloading time. *Id.* ¶¶ 616, 618, 671-72.
- **Increased BCO inventory**, because delays from lack of interoperability require additional inventory. *Id.* ¶¶ 616, 618, 673-74.

As a result, stakeholders, including ostensibly OCEMA and its ocean carrier members, have sought to realize the benefits of interoperable chassis pools that are managed by a neutral party—CCM—that has no interest in favoring particular ocean carriers or IEPs. *Id.* ¶ 617.

Respondents have not disputed that the gray pool model works, agreeing “ [REDACTED] [REDACTED] [REDACTED].” *Id.* ¶ 611(h). The biggest drawback to interoperability is that “[REDACTED].”

Id. ¶ 611(k).

In practice, however, ocean carriers have actively worked to undermine the viability of interoperable chassis pools, as record evidence shows in detail. *See infra*.

B. CCM Rules and Their Effect on Interoperability and Chassis Choice.

CCM is a chassis pool management company controlled by OCEMA members. JSF ¶¶ 14-20. CCM has had over 120,000 chassis under management in interoperable chassis pools in 29 major metropolitan transportation hubs. *Id.* ¶ 198. CCM has had six pool subsidiaries. *Id.* ¶

200. In 2020, two of these, the Gulf Consolidated Chassis Pool (“GCCP”) and the COCP formally closed. *Id.* ¶¶ 202, 204.

CCM Pools offer a “Choice Program” using a “choice by exception” model as a “voluntary / non-mandatory element of the CCM Chassis Pool model.” SUMF ¶ 73. Although the process has changed since OCEMA and CCM first formalized this process in 2013, the basic structure of “choice by exception” has stayed the same. *Id.* ¶¶ 73-86. Under the CCM model, any ocean carrier who participates in a CCM pool is both permitted and presumed to assign both CH and MH chassis usage to its “default” IEP with which it has a contractual relationship. *Id.* ¶¶ 76, 79, 86. Thus, for MH movements, current Rule 5.5 permits the ocean carrier to require that a motor carrier or BCO **must** use that default IEP. SUMF ¶¶ 79, 84. Current Rule 5.7 permits the ocean carrier to allow the motor carrier or BCO to request an exception in favor of an alternative IEP in the pool. *Id.* ¶¶ 80, 82. The Rule permits that the request may require specific approval from both the ocean carrier *and* the IEP, or may be automatically granted. *Id.* ¶¶ 75, 80. CCM communicates with both the ocean carrier and the IEP before a choice request is implemented. *Id.* ¶ 75.

CCM operates a web site that publishes the stated chassis choice policies of each ocean carrier participating in CCM pools, *i.e.*, whether chassis must be provided solely by a designated IEP, by that IEP except if choice is requested and approved, or if choice is permitted without the need for specific approval. *Id.* ¶¶ 82, 87.

Respondent ocean carrier policies differ significantly with respect to allowing MH chassis choice. Some, like CMA-CGM and COSCO currently allow choice without the need for approval, *id.* ¶ 87, while others like [REDACTED], [REDACTED], [REDACTED] and [REDACTED], claim to

always (or nearly always) grant a request for an exception.⁶ *Id.* ¶¶ [REDACTED]
[REDACTED] Others, such as [REDACTED], and [REDACTED], reject or significantly delay permission in response to requests for choice, but sometimes allow it. *Id.* ¶¶ [REDACTED] And some ocean carriers, such as [REDACTED], [REDACTED], and [REDACTED], always (or nearly always) reject motor carrier requests for an exception or disclaim choice altogether. *Id.* ¶¶ [REDACTED]
[REDACTED] At least one ocean carrier acknowledges that requiring permission may significantly diminish the likelihood that motor carriers or BCOs will exercise choice away from their default provider. *Id.* ¶ [REDACTED]

C. Respondent Ocean Carriers' Contracts Permit Restricting MH Chassis Choice and Allow IEPs Unfettered Discretion to Withdraw from Interoperable Pools.

1. Ocean Carriers Contract for Lower CH Prices Based on Higher MH Volumes.

Ocean carriers restrict competition for chassis in MH movements, even though ocean carriers do not pay for or arrange for the chassis.⁷ Ocean carriers agree to contract terms and engage in practices that provide IEPs with pricing power to increase MH rates, in exchange for lower CH rates or direct payments. *E.g.*, SUMF ¶ 497 ([REDACTED]
[REDACTED]).

[REDACTED]
[REDACTED] *See,*
e.g., id. ¶¶ [REDACTED]

⁶ In choice by exception, the Choice Rules require the IEP approve a motor carrier's or shipper's request. SUMF ¶¶ 75, 157-59 ([REDACTED]
[REDACTED]).

⁷ [REDACTED] and [REDACTED] negotiate prices with IEPs for chassis in all movements and require motor carriers and shippers to pay them for use of their designated MH chassis provider, and limit motor carrier choice away from that provider. SUMF ¶¶ [REDACTED]

Through these contract terms, motor carriers are forced to use the ocean carrier's designated IEP for MH movements, even though the motor carrier is financially responsible and arranges for the chassis. In CCM pools, choice can blunt the designated IEP's resulting pricing power, but not if the ocean carrier disallows choice or allows choice only with permission. *Id.* Even when an ocean carrier permits choice by approval, the designation of a "██████████" or "██████████" IEP increases the IEP's MH volume because exercising choice requires the motor carrier to make an affirmative request and incur administrative costs. *Id.* ¶¶ ██████████.

2. Ocean Carriers Contract with IEPs to Exit Interoperable Pools.

Ocean carrier agreements to use IEP non-interoperable proprietary pools instead of interoperable pools prevent any possibility of choice in that pool. Therefore, these agreements grant de facto exclusivity to a single IEP, including for MH movements, further enhancing the IEP's pricing power for MH chassis. *Id.* ¶¶ 393-95, 497, 522-25.

These arrangements not only prevent chassis interoperability and choice, but also reduce the number of interoperable chassis available in CCM pools in their regions. When an ocean carrier signs a contract to use the proprietary pool, the IEP then withdraws those respective chassis from the CCM pool. *Id.* ¶ 635. When a CCM pool no longer contains sufficient chassis to service the remaining ocean carriers using the pool, the pool collapses. *Id.* ¶ 624. This dynamic caused the COCP to cease operations in 2020. *Id.* ¶¶ 25, 632-35.⁸ Because of the closure of the COCP, the Chicago region is now **only** served by IEP proprietary pools where MH chassis choice cannot be exercised. *Id.* ¶¶ 635, 639-42. Similarly, in the Memphis region, [REDACTED]

⁸ GCCP also collapsed in [REDACTED]. *Id.* ¶ 24.

[REDACTED]

[REDACTED] *Id.* ¶ [REDACTED]

[REDACTED] [REDACTED]

[REDACTED] *Id.* ¶ [REDACTED] Thus, these arrangements for IEP proprietary pools damage the supply chain in both the short and long term.

3. Respondents Continue to Participate in the Pool of Pools Notwithstanding that It Has Never Implemented Chassis Choice.

The POP was designed as an interoperable pool comprised of the proprietary pools of the three major IEPs. [REDACTED]

[REDACTED]

[REDACTED] *Id.* ¶ 49.⁹ [REDACTED]

[REDACTED] *Supra.* However, even though ocean carriers have continued to enter into agreements with IEPs for the POP since 2015, choice has never been allowed. *Id.* ¶ 50. As a result, billing for an ocean carrier’s containers must be assigned to the one IEP with which an ocean carrier has a contract for the POP (*i.e.*, “Box Rules”), including for MH movements. *Id.* ¶ 48. Ocean carriers nevertheless continue to participate in the POP even though choice is unavailable. *Id.* ¶ [REDACTED]

[REDACTED]

[REDACTED]

⁹ [REDACTED]
[REDACTED] *Id.* ¶ 437.

D. Harm to Motor Carriers, Shippers, and the Supply Chain

1. Higher Chassis Prices

There is no genuine dispute that there are significant disparities in the chassis prices for CH and MH movements.¹⁰ *Id.* ¶ 540. And no party disputes that MH chassis prices are *higher* than CH prices. *Id.* ¶¶ 174, 196, 275, 503, 521, 536. Ocean carriers and IEPs do not negotiate MH prices. *Id.* ¶¶ 289, 525. Rather, in the resulting agreements, ocean carriers reward IEPs with higher *MH* volumes in exchange for lower *CH* prices. See, e.g., *id.* ¶¶ 260-61 ([REDACTED] [REDACTED]). The result is that ocean carrier contracts award ***lower*** CH pricing for ***lower*** CH volume. *Id.* This is the opposite of a volume discount, which would provide for lower CH pricing for higher CH volume, demonstrating that this arrangement is a cross-subsidization. *Id.* ¶¶ 496-521. These provisions, along with the CCM rules that limit choice, allow IEPs to raise prices for MH chassis. *Id.* ¶¶ 522-23, 525, 536-38. The resulting price disparity is supported by record evidence—[REDACTED] [REDACTED]. *Id.* ¶¶ 526-36. [REDACTED] [REDACTED]. *Id.* ¶ 722.

There is also no dispute that motor carriers must pass at least some of these higher costs through to their shipper customers, *i.e.*, ***the shipping public***.

2. Loss of Interoperable Pools

As Respondents concede, interoperable pools benefit the flow of container traffic because “ [REDACTED],” and a “ [REDACTED]

¹⁰ [REDACTED] and [REDACTED] are exceptions, but nonetheless restrict MH chassis choice. *Supra.*

,” *id.* ¶ 611(f). *See also supra* (articulating benefits of interoperable pools).

But ocean carrier withdrawals from interoperable CCM pools, such as the COCP,¹¹ eviscerated these and other benefits and, indeed, caused these pools to collapse. *Supra* at 5-6. And the replacement of the COCP with non-interoperable proprietary pools, has caused increased inefficiencies, including fewer start/stop locations, reduced terminal fluidity, greater wait times, and increased complexity. *Id.* ¶¶ 637-45. Now, as ocean carriers continue to withdraw from the MCCP, yet another CCM pool may be at risk of collapse. *Id.* ¶ 636. As Memphis has experienced increasing use of non-interoperable chassis pools, it also has lost fluidity and efficiency, which has imposed additional costs on stakeholders and negatively affected the overall performance of the supply chain in this crucial and growing region. *Id.* ¶¶ 646-56.

LEGAL STANDARDS

To prevail, the party seeking summary decision must demonstrate that “there is no genuine issue of material fact and the movant is entitled to judgment as a matter of law.”

EuroUSA Shipping Inc., Tober Group Inc., and Container Innovations Inc. – Possible Violations of the Shipping Act of 1984 and the Commissioner’s Regulations at 46 C.F.R. § 515.27, 31 S.R.R. 545, slip op. at 7 (FMC 2008) (citing Fed. R. Civ. P. 56). On a motion for summary decision, it is insufficient for the nonmoving party “merely to reassert ultimate facts without providing any support for the contentions,” and “conclusory allegations as to ultimate facts are not adequate to defeat summary decision.” Initial Decision at 23, *Baltic Auto Shipping Inc. v.*

¹¹ A similar dynamic caused the collapse of the GCCP. *Supra.*

Hitroniv & Empire United Lines, Dkt. No. 14-16 (ALJ Sept. 15, 2015) (quoting *Gibson v. County of Washoe, Nev.*, 290 F.3d 1175, 1180 (9th Cir. 2002)).¹²

The Shipping Act provides that “[a] common carrier . . . may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). “Just and reasonable” means that the challenged conduct is “fit and appropriate to the end in view,” *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan*, 24 S.R.R. 714, 722, 1988 WL 340659, at *7 (FMC 1988) (quoting *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (1966)); see also *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638, 29,651 (May 18, 2020) (rulemaking pursuant to ocean common carrier obligations; practice unreasonable when it is not “tailored to meet its intended purpose”). In other words, the Commission analyzes the effects of a practice as compared to proffered “worthy objective[s].” *Distribution Services*, 24 S.R.R. at 722. If “less intrusive methods” exist to accomplish the goal, then the conduct is “excessive” and “unreasonable,” and violates the Shipping Act. *Id.*¹³

¹² The FMC is “generally [] governed by liberal evidentiary rules that create a strong presumption in favor of admitting questionable or challenged evidence.” *EuroUSA*, slip op. at 11 (citation omitted). As a result, any evidence “which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible.” *Id.* (citing 46 C.F.R. § 502.[204]).

¹³ Exclusivity arrangements may violate the Shipping Act. See *All Marine Moorings, Inc. v. ITO Corp.*, 27 S.R.R. 539 (FMC 1996); *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 1999 WL 125991 (FMC Feb. 3, 1999). However, these cases are not fully pertinent because they concern “something akin to a monopoly,” harm to a competitor who sued. *Id.* at *10. In contrast here, ocean carriers have restrained competition for the MH chassis market (where they are not purchasers) in exchange for financial gain. See SUMF ¶ 497 (describing various financial benefits ocean carriers receive from challenged practices).

ARGUMENT

There is no dispute as to the basic facts of Respondents’ conduct. Respondents’ rules and practices shift costs from ocean carriers to motor carriers, the shipping public, and ultimately American consumers. These practices are unnecessarily restrictive to accomplish the purported goals of interoperable chassis pools and the procurement of chassis for delivery of containers. And ocean carriers—as common carriers—have a duty to the shipping public beyond maximizing short term profits at the expense of the rest of the supply chain.

Nor can Respondents dispute the legal effect of these facts. In *Distribution Services*, the Commission struck down an ocean carrier conference rule controlling reimbursement of “transshipment” services, which governed the transfer of cargo from an ocean container to an inland container at an off-port location. This rule incentivized minimizing the transportation of empty ocean carrier containers back to port, shifting the cost of transporting empty containers elsewhere. *Distribution Services*, 1988 WL 340659, at *2. Although minimizing the transportation of empty ocean containers and preventing false billing for transloading expenses were “worthy objective[s],” the Commission found the ocean carriers’ regulations to be “excessive and thus unreasonable”—because “less intrusive methods” existed to accomplish those goals. *Id.* at *7. The same holding applies here.

A. The Commission Has Jurisdiction over All Parties and Claims.

This proceeding challenges practices that burden customers shipping under filed port-to-port tariffs and service contracts. Each Respondent ocean carrier operates in the United States and is a common carrier regulated under the Shipping Act by the Commission. JSF ¶¶ 25, 42, 58, 72, 87, 102, 117, 132, 148, 162, 176. No party contests that Respondents OCEMA and CCM are controlled by boards comprised of representatives of Respondent ocean carriers, and have filed governing agreements with the Commission, and continue to file minutes of the governing

bodies of those entities with the Commission. *Id.* ¶¶ 13, 21. Thus, the FMC has subject matter and personal jurisdiction over all Respondents. *See* Order Denying Interlocutory Appeal at 6 (“There is not a substantial difference of opinion regarding the extent of this jurisdiction”).

Further, IMCC has standing to bring this action, *see* Statement of the Commission on Representative Complaints at 1-2, Dkt. No. 21-13 (FMC Dec. 28, 2021) (“any person may file a complaint alleging a violation, including . . . trade associations”); SUMF ¶¶ 2-8.

B. Respondents Adopted, Imposed, and Enforced CCM Rules that Unjustly and Unreasonably Restrict Chassis Choice.

CCM’s “Choice Program” is in truth a “Denial of Choice” program. By assigning final control for MH chassis to ocean carriers and their IEPs, CCM’s rules restrict choice rather than enable it. The program is unreasonable because it is more restrictive than necessary to achieve the goals of securing a sufficient supply of chassis.

1. Rules 5.5 and 5.7 Unnecessarily Restrict Chassis Choice.

Rules 5.5 and 5.7, and related rules, of the CCM Pool Operations Manual violate § 41102(c) because they give ocean carriers the unfettered right to veto a motor carrier’s or BCO’s selection of MH chassis. *Supra.* Each Respondent ocean carrier, except [REDACTED], is a party to this scheme [REDACTED]

[REDACTED]. JSF ¶¶ 16, 147; SUMF ¶ 74. OCEMA and CCM are also liable as the entities through which the ocean carriers have collectively acted to adopt these rules. *Id.* ¶¶ 73-86.

Choice is *crucial* to promoting price competition between IEPs for MH chassis. The ocean carrier veto right warps competition because the entity paying for the MH chassis (the motor carrier or BCO)¹⁴ is not the same entity selecting the chassis.

¹⁴ [REDACTED] *See supra.*

For this reason, OCEMA, CCM, and other stakeholders have recognized the benefits of chassis choice for MH shippers. For example, CCM admits that chassis choice allows motor carriers to “negotiate better terms and lower rates.” *Id.* ¶ 617(e). And choice allows greater participation in pools from IEPs beyond the “_____,” _____
_____. *Id.* ¶ 680 (_____

_____)). Most tellingly, some ocean carriers do offer choice despite the Rules, demonstrating that MH chassis choice does not interfere with ocean carrier chassis supply. *Supra.*

As a result, the CCMP Operations Manual Rules are **unreasonable**—they empower ocean carriers to restrain competition in the market for MH chassis and to increase costs to motor carriers and BCOs, while reducing their own CH costs. See Order Denying MTD (Nov. 18, 2020) at 7 (claims that “Respondents’ conduct restricts chassis competition” and “overcharge motor carriers for chassis on merchant haulage” are sufficient to “allege a violation of the Shipping Act.”). But beyond the economic effects, the rules are also **unjust**—each time a motor carrier or BCO is deprived of the right to determine with whom it will contract, it is harmed irreparably. See *Boardman v. Pac. Seafood Grp.*, 822 F.3d 1011, 1023, 1025 (9th Cir. 2016) (affirming injunction) (“[a] lessening of competition constitutes an irreparable injury”).

2. The Rules Are More Restrictive than Necessary.

CCM’s “Choice Program” is more restrictive than necessary, and thus not “tailored to meet its intended purpose,” precisely because it places the final decision of MH chassis in the hands of the ocean carrier and/or its designated IEP, rather than the motor carrier or BCO that is responsible for arranging and paying for the chassis. 85 Fed. Reg. at 29,651. Here, there is no legitimate reason to restrict MH chassis choice. Maximizing the short-term profits of the ocean

carriers and IEPs is not a “worthy objective” for a common carrier in assessing the reasonableness of its practice.

One way the Commission can determine whether the challenged conduct is unreasonable is if “less intrusive” means exist to satisfy the same “worthy objective.”¹⁵ *Distribution Services*, 1988 WL 340659, at *7. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]. *Id.* ¶¶ [REDACTED]

As a result, CCM’s “Choice Program,” including Rules 5.5 and 5.7, as well as the enforcement of those rules by CCM and each ocean carrier participating in a CCM pool, is more restrictive than necessary and thus is not “fit and appropriate to the end in view,” *i.e.*, securing chassis for container movements. *Distribution Services*, 1988 WL 340659, at *7.

C. Ocean Carriers’ Contracts that Link MH Volumes with CH Prices Are Unjust and Unreasonable.

Each ocean carrier unjustly and unreasonably benefits from contracts with IEPs that trade lower CH rates to the ocean carrier in exchange for provisions that enhance the ability of IEPs to obtain higher MH rates and reduced MH price completion. *Supra*. These provisions disfavor shippers using Respondents’ port-to-port/inland rates, inflate MH chassis rates, and create unnecessary supply chain inefficiencies.

¹⁵ A “worthy objective” is analogous to a “legitimate goal” under antitrust law, *i.e.*, that the restraint offers something with “procompetitive virtue—such as, for example, the creation of efficiencies in the operation of a market or the provision of goods and services.” *FTC v. Indiana Fed’n of Dentists*, 476 U.S. 447, 459 (1986). A common carrier’s short-term profit maximization at the expense of the shipping public plainly does not qualify.

For example, *each ocean carrier* has contracts whereby the ocean carrier receives lower CH rates in exchange for higher or more predictable MH volumes. *See supra*. Others have contracts whereby lower CH rates are achieved by meeting certain MH volume goals. *Supra*. And some ocean carriers steer MH volume while negotiating with IEPs, implicitly knowing this will earn them a better bargain. *E.g.*, SUMF ¶¶ [REDACTED]

[REDACTED] These contractual linkages of MH and CH are the opposite of “volume discounts,” by which one typically receives a lower price in exchange for more volume. Here, the ocean carriers receive a lower CH rate for *less CH volume*. Thus, these contracts cross-subsidize lower CH with higher MH rates, as ocean carriers fund undercharges for CH chassis using the overcharges for MH chassis. As a result, [REDACTED] [REDACTED]. *Id.* ¶¶ 526-36. This cross-subsidization harms MH motor carriers and their customers.

Further, these contractual linkages are unnecessary to achieve any worth objective. The linkages only serve the business objectives of ocean carriers, who receive the benefit of lower CH prices (or direct payments) from their IEPs’ provision of higher price MH chassis. And ocean carriers expressly understand this dynamic. *E.g.*, *id.* ¶¶ [REDACTED]

[REDACTED] As a result, the contractual provisions linking CH prices and MH volumes are not “tailored to meet” any legitimate purpose, and violate the Shipping Act. 85 Fed. Reg. at 29,651.

D. Ocean Carrier Contracts that Designate an IEP for MH Movements Are Unjust and Unreasonable.

Ocean carriers steer MH chassis usage to the IEP supplying chassis for CH movements by designating that IEP for MH movements. *Supra*. Such designations are part and parcel of ocean carrier restrictions on choice, *i.e.*, they allow ocean carriers to use the Choice Rules in CCM pools to deny choice and they allow ocean carriers to exit interoperable pools that allow choice. *Supra*. But the actions of those ocean carriers that permit chassis choice in CCM pools demonstrates that no designation of an MH chassis provider is necessary. *Supra*. Those ocean carriers have given motor carriers and their customers the ability to choose their IEP for MH movements, conduct clearly compatible with a sufficient supply of chassis. As a result, IEP designations go “beyond what is necessary” to ensure the supply chain has sufficient MH chassis, and thus they violate the Shipping Act. *Distribution Services*, 1988 WL 340659, at *7.

E. Ocean Carriers’ Designation of a Proprietary Chassis Pool and Withdrawal from an Interoperable Chassis Pool Is Unjust and Unreasonable.

All Respondent ocean carriers have entered into contracts with IEPs designating (or permitting the IEP to designate its proprietary chassis pool), rather than a CCM pool from which to provide chassis for CH and MH movements.¹⁶ *Supra*. This conduct is ongoing. As discussed below, since the filing of this Complaint, one ocean carrier (██████████) has negotiated a contract to allow its IEP to withdraw from the MCCP. Another (██████████) is in active negotiations to do the same.

Through designation of a proprietary pool for MH movements, the ocean carrier grants the IEP pricing power for that ocean carrier’s MH movements. *Supra*. And further, because proprietary pools are inherently non-interoperable, **none** of the benefits of interoperability accrue

¹⁶ Except ██████████, *see supra* at 18.

to the supply chain. *See supra*. More specifically, in Chicago these contracts [REDACTED]

[REDACTED]. *Supra*. This caused a domino effect culminating in the collapse of the COCP.¹⁷ *Supra*.

As of the end of [REDACTED], [REDACTED] of the over [REDACTED] pool chassis in the COCP were no longer interoperable or available for choice, and thus subject to de facto IEP exclusivity. By the end of [REDACTED], the remaining [REDACTED] had become de facto exclusive. *Supra*. Thus, the Chicago withdrawal agreements not only erased interoperability for the ocean carriers' own movements, **but also deprived the entire region of the benefits of the interoperable pool**. *Supra*. Now, there is not a single gray pool in America's most important rail hub. *Supra*.

Memphis could be next. A collapse of the MCCP would increase costs for all supply chain stakeholders in the region. *Supra*. This is true particularly given the characteristics of the Memphis region, including wheeled operations. SUMF ¶ 648. MCCP accounts for approximately [REDACTED] of the intermodal chassis supply chain in the Memphis area, with DCLI at [REDACTED] and TRAC at [REDACTED]. *Id.* ¶ 646. But this market share fluctuates as ocean carriers enter into agreements to exit the MCCP for the DCLI or TRAC pools, which reduce the number of interoperable chassis available. For example, as of [REDACTED], [REDACTED] containers accounted for [REDACTED], and [REDACTED] accounted for [REDACTED] of MCCP chassis usage. *Id.* ¶ 636. Contracts allowing IEPs absolute discretion to withdraw chassis from the MCCP could thus slash [REDACTED] the number of chassis in the MCCP—contrary to the purported policy of the ocean carriers, OCEMA, and CCM, to promote chassis choice and interoperability across the region. *Id.* ¶¶ 612-18.

¹⁷ A similar dynamic occurred in the region served by the GCCP. However, as the parties limited discovery and did not include this region, it is not part of this motion.

The record demonstrates these withdrawal decisions achieve short-term reductions in CH chassis prices and shift the burden of non-interoperability to others in the supply chain. *E.g., id.*

¶¶ [REDACTED] ([REDACTED])

[REDACTED]

[REDACTED]); *see also id.* ¶¶ 637-57. The [REDACTED] contract negotiations with [REDACTED] and [REDACTED] are instructive.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] *Id.* ¶¶ [REDACTED]

[REDACTED]

[REDACTED] *Id.* ¶¶ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] *Id.* ¶ [REDACTED]. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] *Id.* ¶ [REDACTED]. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]. ¶ 627. Such disregard of the negative effects and costs imposed on the supply chain by the ocean carriers' self-interested conduct is exactly the opposite of the responsibilities that the Shipping Act places on common carriers. Respondents "may not fail to establish, observe, and enforce just and reasonable regulations and practices" relating to the movement of property. 46 U.S.C. § 41102(c). Under that standard, decisions to withdraw from existing chassis pools are unjust and unreasonable.

F. Ocean Carriers' Contracts and Practices to Use MH Chassis in the Pool of Pools Are Unjust and Unreasonable While It Fails to Implement Chassis Choice.

The current POP rules do not allow the motor carrier or BCO to exercise chassis choice in MH movements. *Supra*. As a result, in an MH move, the motor carrier or BCO **must** use the chassis for the IEP with whom the ocean carrier has contracted. *Supra*. Thus, the POP restricts MH chassis choice, restraining inter-IEP price competition. *Supra*. This harms not only motor carriers but also their shipper customers, who are forced to pay these passed-on higher MH chassis charges. *Supra*.

Ocean carriers have recognized the benefits of choice in the POP by [REDACTED]

[REDACTED]. *Supra*. In fact, the [REDACTED]

[REDACTED] *Supra*. Yet, choice is **still** not permitted at the POP. *Supra*.

Here, ocean carriers cannot hide from liability behind the IEPs, simply by requiring choice only if the IEPs allow it. Ocean carriers (unlike chassis providers) have an affirmative

obligation to the shipping public to maintain just and reasonable practices.¹⁸ See 46 U.S.C. § 41102(c). Therefore, so long as the POP does not allow chassis choice, ocean carrier agreements to obtain chassis from the POP IEPs are unjust and unreasonable because ocean carriers are taking advantage of lower CH rates and the benefits of interoperability in a more restrictive manner than is necessary. This is particularly true given [REDACTED]
[REDACTED], which serves the largest port facility in the United States.

G. Respondents' Violations Proximately Caused Harm to Motor Carriers, Their Shipping and Receiving Customers, and Ultimately American Consumers.

There is no question that Respondents' conduct forces motor carriers and their customers to pay higher prices for MH chassis. But the results of this scheme are much more sweeping, burdening an already overextended distribution network.

1. Respondents' Conduct Unreasonably Disadvantages Motor Carriers and Their Customers Obtaining Ocean Transportation.

Respondents' practices unjustly and unreasonably disadvantage motor carriers and their customers obtaining ocean transportation under the ocean carriers' port-to-port and inland transportation tariffs and service contracts. Respondents have unreasonably restrained the market for MH chassis, leading to unjust and unreasonable cross-subsidization between CH and MH chassis rates that raise costs to motor carriers and their customers. See *Distribution Services*, 1988 WL 340659, at *6 ("The justness or reasonableness of a practice is not

¹⁸ At the relief phase, IMCC will seek to tailor the injunction to allow all parties enough time to construct a POP that allows MH chassis choice. See, e.g., "50 Mile Container Rules" *Implementation by Ocean Common Carriers Serving U.S. Atlantic and Gulf Coast Ports*, Dkt. No. 81-11, 1987 WL 209053, at *4 (FMC Aug. 3, 1987) (finding a term in an agreement with third parties unlawful and giving ocean carriers "a reasonable amount of time to conform their collective bargaining arrangements with the requirements of the shipping laws"), *aff'd New York Shipping Ass'n, Inc. v. Fed. Mar. Comm'n*, 854 F.2d 1338 (D.C. Cir. 1988).

necessarily dependent upon the existence of actual preference, prejudice or discrimination. It may cause none of these but still be unreasonable.”) (quoting *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (1966)).

There is no dispute that: (1) MH chassis prices are higher than CH chassis prices, *supra*; and (2) that MH chassis prices would be lower both with greater inter-IEP competition resulting from chassis choice, and without the contractual cross-subsidization between CH and MH chassis rates. *Supra*. Motor carriers and BCOs pay these higher prices. *Supra*. And the disparity between MH and CH prices has only grown while the number of MH movements subject to competition has decreased due to ocean carrier migration to non-interoperable proprietary pools. SUMF ¶ 536 ([REDACTED]); see also *id.* ¶ 30 ([REDACTED]); *id.* ¶¶ 633-35 ([REDACTED]).

Even the limited price competition in the CCM “Choice Program” creates significant price reductions for MH chassis. For example, [REDACTED]; *Id.* ¶ 538. [REDACTED]; *Id.* ¶¶ 541-44. [REDACTED]; *Id.* ¶¶ 543-44. [REDACTED]

Id. ¶ 544.

Supply chain stakeholders have complained about these higher MH chassis prices. *Id.* ¶ 540. And Respondents cannot argue that motor carriers are unharmed because they pass on much of these costs to their customers. As a legal matter, the Commission does not recognize a “pass-on” defense **at all** because only direct purchasers have standing to sue for reparations. *In re Vehicle Carrier Services*, 1 F.M.C. 2d 440, 455 (FMC 2019) (“shippers must be direct purchasers to sue for reparations.”); *cf. Hanover Shoe v. United Shoe Mach. Corp.*, 392 U.S. 481 (1968) (under antitrust laws, defendant may not raise defense that plaintiff is not harmed because it passed on overcharges). Even if *arguendo* motor carriers do not absorb the higher MH chassis rates but rather pass them on in their entirety, then the shipping public is **harmed more, not less**.

2. Respondents’ Conduct Harms Supply Chain Efficiency and Fluidity, Worsening the Supply Chain Crisis.

Respondents’ conduct also harms the “prompt handling of [] cargo,” for which the “public interest in their efficient operation is unquestioned.” *Isbrandtsen II*, 444 F.2d at 828. At a time when the supply chain crisis has drawn the attention of the highest levels of power, *see* Executive Order on America’s Supply Chains, No. 14017 (Feb. 24, 2021), Respondents’ conduct restricting chassis makes this bad situation worse.

By entering into contracts with IEPs that restrict interoperability, ocean carriers impose monetary and non-monetary costs on motor carriers, including increased flip charges, chassis splits, detention/demurrage charges, and wait times. *Supra*. These costs reduce the number of paid trips drivers can perform each day, reducing their productivity at a time of driver scarcity. *Supra*. But the harms from non-interoperability radiate out into the supply chain as well. For example, non-interoperability slows the fluidity of a terminal by creating unnecessary

chokepoints and increasing terminal wait time. *Supra*. A similar dynamic occurs at rail yards, as a lack of interoperability can slow the time it takes to unload a rail car. *Supra*. And when chassis are noninteroperable, there are increased repositioning costs to ensure the “right” chassis is in the “right” place. *Supra*. Further, Respondents’ conduct forces the system as a whole to require a higher **total** number of chassis, a duplication cost borne by other IEPs or a motor carrier that bring chassis from outside daily rental pools. *Supra*. BCOs similarly must stock **more** inventory, because there is greater delay and uncertainty in the supply chain. *Supra*. Any benefits from the challenged practices accrue almost entirely to the IEP, and to the ocean carriers through shared financial payments. *Supra*. Thus, Respondents’ conduct shifts uncompensated externalities onto the supply chain to permit Respondents to obtain short-term chassis cost savings.

H. IMCC’s Claims Meet the Remaining Requirements.

IMCC’s claims meet the remaining requirements of 46 C.F.R. § 545.4. Here, no party questions that Respondents’ scheme “is connected with receiving, handling, storing, or delivering property.” *Id.* § 545.4(c); *see also* 85 Fed. Reg. at 29,655 (it “is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port.”).

Nor is there a genuine dispute that the violations “proximate[ly] cause[d]” motor carriers’ harm, and “are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b), (e). Here, the CCM Rules and their enforcement are clearly “normal, customary, and continuous,” and proximately cause motor carriers’ harm, because the “Choice Program” is firmly established, and enforcement of the rules reoccur for every MH movement in a CCM Pool. *See* Initial Decision at 36, *In re Hapag-Lloyd A.G. & Hapag-Lloyd (America) LLC- Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09 (ALJ Apr. 22, 2022) (ocean carrier

“policy” meets element). In addition, the ocean carrier contracts with IEPs are entered into and amended on an ongoing and continuous basis. *See generally* JSF ¶¶ 207-319 (contracts). Similarly, provisions in those contracts designating and redesignating the pools from which chassis are to be provided affect the “normal [] business model” for the provision of chassis used for a Respondent’s container movements. Initial Decision, *MAVL Capital et al. v. Marine Transport Logistics & Dmitry Alper*, Dkt. No. 16-16, slip op. at 20 (ALJ Sept. 29, 2021). As a result, all of the challenged conduct happens on a “normal, customary, and continuous” basis. 46 C.F.R. § 545.4(b).

I. IMCC Is Entitled to Cease-and-Desist Relief.

On this motion, the Presiding Officer is not required to determine specific relief. Rather, if the Presiding Officer finds liability, the parties will brief the proper remedy for the Initial Decision. *See* 46 C.F.R. § 502.224 (initial decisions must contain statement of “relief, or denial thereof”). IMCC intends to request a cease-and-desist order “tailored to the needs and facts” of this case. *Hapag-Lloyd*, slip op. at 44 (citing *Marcella Shipping Co. Ltd.*, 23 S.R.R. 857, 871-72 (ALJ Feb. 13, 1986)). Further, a cease-and-desist order will be necessary to prevent Respondents’ ongoing violations of the Shipping Act, even if they voluntarily cease particular acts because “there is a reasonable likelihood that [Respondents] would continue to violate the Shipping Act without” one. *Id.*

CONCLUSION

IMCC respectfully requests its motion for summary decision to be granted.

Respectfully submitted,

DATED: April 29, 2022

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CERTIFICATE OF SERVICE

I certify that, on May 4, 2022, a true and current copy of the foregoing Motion for Summary Decision (Public Version) was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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